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Baidu.com (BIDU.O)

3Q26E Preview: Expect Reaccelerating AI Cloud Infra Revs Growth

CITI'S TAKE

We believe Baidu will report 3Q26 around mid-Nov. Given stronger-than-expected demand, we now expect AI Cloud Infra revenue growth at 99% yoy, to Rmb8.35bn in 3Q26, contributing to Baidu General revenue regaining positive growth despite core ad revenue likely experiencing a further 21% yoy decline. Nevertheless, amid stepped-up investment in model training and AI applications, we see possible downside risk to consensus forecasts for Baidu core adjusted operating and net profit. For 4Q26, despite a higher base, we expect AI Cloud Infra revenue to grow 14% sequentially to Rmb9.5bn, supporting another quarter of positive growth for Baidu General revenue at +0.5% yoy. Post estimates revision and reflecting the recent sector de-rating, our SOTP is lowered to US$154 (from US$166), based on lower target multiples. Retain Buy on undemanding valuation and multiple catalysts ahead, including first-ever dividend payment announcement.

Estimates revision — We adjust our 2026E, 2027E and 2028E total revenue/non-GAAP NP estimates by +0.3%/-8.6%, +1.1%/-9.3%, and +1.4%/-2.5%, respectively, reflecting faster AI cloud infrastructure growth against persistent softness in core advertising revs. For 3Q26 specifically, we revise revenue/non-GAAP net profit by +1.4%/-21.2% due to stronger AI cloud demand alongside margin compression from stepped-up Ernie model training investments.

3Q26E preview — We now forecast total net revs of Rmb30.8bn (-1.2% yoy and -1.6% qoq) and non-GAAP EPADS of Rmb5.59 vs cons. of Rmb30.6bn and Rmb7.67. We model Baidu General Business revs to +0.2% yoy and -1.9% qoq to Rmb24.7bn and adj. OpM to reach 6.7% or Rmb1.64bn. For Baidu General Business, we now model ad revs to decline -21% yoy to Rmb12.09bn; total AI-powered revs to reach Rmb13.38bn or 54% of total Baidu General Business revs; and AI cloud infra revs to +99% yoy to Rmb8.35bn or 62% of total AI-powered revs. We see possible downside risk to consensus operating and net profit forecasts at current levels.

4Q26E outlook — We model total net revs of Rmb32.59bn (-0.5% yoy and +5.7% qoq) and non-GAAP EPADS of Rmb8.46 vs cons. of Rmb33.2bn and Rmb9.16. We model Baidu General Business revs to +0.5% yoy to Rmb26.3bn and adj. Op to reach Rmb2.6bn or 10.0% margin. Core ad revs to -19% yoy to Rmb12.23bn, AI-powered revs to reach Rmb15.05bn with AI Cloud Infra revs to +64% yoy to Rmb9.5bn.

Buy

Price (20 Oct 26 16:00)	US$80.50
Target price	US$154.00↓
from US$166.00	
Expected share price return	91.3%
Expected dividend yield	0.0%
Expected total return	91.3%
Market Cap	US$27,506M

Price Performance
(RIC: BIDU.O, BB: BIDU US)



Earnings Summary

Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	27,002	77.204	-4.8	7.0	0.7	10.6	na
2025A	18,941	55.287	-28.4	9.7	0.7	7.1	na
2026E	11,749	34.073	-38.4	15.8	0.7	4.5	na
2027E	14,867	43.034	26.3	12.5	0.7	6.0	na
2028E	18,571	53.662	24.7	10.0	0.7	7.4	na

Source: Powered by dataCentral

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BIDU.O: Fiscal year end 31-Dec — **Price: US$80.50; TP: US$154.00; Market Cap: US$27,506m; Recomm: Buy**

Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E
Sales revenue	133,125	129,079	126,801	134,141	142,789
Cost of sales	-66,102	-72,436	-75,171	-80,469	-83,168
Gross profit	67,023	56,643	51,630	53,672	59,621
Gross Margin (%)	50.3	43.9	40.7	40.0	41.8
EBITDA (Adj)	**41,791**	**31,718**	**30,679**	**31,605**	**38,985**
EBITDA Margin (Adj) (%)	31.4	24.6	24.2	23.6	27.3
Depreciation	-6,844	-7,746	-15,924	-18,730	-23,866
Amortisation	-13,677	-13,605	-2,146	-3,221	-2,752
EBIT (Adj)	**26,234**	**31,140**	**14,976**	**12,337**	**15,222**
EBIT Margin (Adj) (%)	19.7	24.1	11.8	9.2	10.7
Net interest	5,138	5,818	4,580	4,932	5,599
Associates	-691	3,196	1,688	1,221	1,221
Non-Op/Except/Other Adj	-2,059	-33,438	-6,454	-3,883	-2,856
Pre-tax profit	**28,622**	**6,716**	**14,790**	**14,607**	**19,186**
Tax	-4,447	-1,259	-2,501	-2,811	-3,773
Extraord./Min.Int./Pref.div.	-415	132	391	388	302
Reported net profit	**23,760**	**5,589**	**12,680**	**12,184**	**15,715**
Net Margin (%)	17.8	4.3	10.0	9.1	11.0
Core NPAT	27,002	18,941	11,749	14,867	18,571

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS (Rmb)	67.934	16.314	36.772	35.268	45.410
Core EPS (Rmb)	77.204	55.287	34.073	43.034	53.662
DPS (Rmb)	0	0	0	0	0
CFPS (Rmb)	60.712	-8.795	72.795	88.323	124.267
FCFPS (Rmb)	37.455	-44.035	-22.812	-16.512	14.929
BVPS (Rmb)	755.900	781.528	738.182	730.495	743.835
Wtd avg ord shares (m)	349	341	340	340	340
Wtd avg diluted shares (m)	350	343	345	345	346

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	-1.1	-3.0	-1.8	5.8	6.4
EBIT (Adj) (%)	-7.7	18.7	-51.9	-17.6	23.4
Core NPAT (%)	-6.1	-29.9	-38.0	26.5	24.9
Core EPS (%)	-4.8	-28.4	-38.4	26.3	24.7

Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	139,137	115,492	136,889	123,628	121,106
Accounts receivables	10,104	12,972	13,090	14,032	15,132
Inventory	0	0	0	0	0
Net fixed & other tangibles	73,692	67,195	87,075	91,310	95,557
Goodwill & intangibles	44,983	61,212	64,849	68,059	71,834
Financial & other assets	159,864	192,286	145,921	147,271	148,667
Total assets	**427,780**	**449,157**	**447,824**	**444,300**	**452,297**
Accounts payable	0	0	0	0	0
Short-term debt	19,105	23,850	28,339	28,339	28,339
Long-term debt	43,592	54,390	66,868	66,868	66,868
Provisions & other liab	81,471	81,191	78,346	77,771	81,426
Total liabilities	**144,168**	**159,431**	**173,553**	**172,978**	**176,633**
Shareholders' equity	263,620	266,330	250,747	248,186	252,829
Minority interests	19,992	23,396	23,524	23,136	22,834
Total equity	**283,612**	**289,726**	**274,271**	**271,322**	**275,664**
Net debt (Adj)	**-76,440**	**-37,252**	**-41,682**	**-28,421**	**-25,899**
Net debt to equity (Adj) (%)	-27.0	-12.9	-15.2	-10.5	-9.4

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	7.0	9.7	15.8	12.5	10.0
PB (x)	0.7	0.7	0.7	0.7	0.7
EV/EBITDA (x)	-0.2	-0.2	0.8	1.7	1.6
FCF yield (%)	7.0	-8.2	-4.2	-3.1	2.8
Dividend yield (%)	na	na	na	na	na
Payout ratio (%)	0	0	0	0	0
ROE (%)	9.4	2.1	4.9	4.9	6.3

Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBITDA	41,791	31,718	30,679	31,605	38,985
Working capital	-27,512	-42,048	-6,362	-4,704	-681
Other	6,955	7,317	785	3,613	4,702
Operating cashflow	**21,234**	**-3,013**	**25,102**	**30,513**	**43,006**
Capex	-8,134	-12,073	-32,968	-36,218	-37,839
Net acq/disposals	-7,118	-16,999	-4,087	5,270	-3,827
Other	6,697	3,936	-715	-812	-848
Investing cashflow	**-8,555**	**-25,136**	**-37,770**	**-31,760**	**-42,513**
Dividends paid	0	0	0	0	0
Financing cashflow	**-13,759**	**17,142**	**-4,932**	**0**	**0**
Net change in cash	**-985**	**-11,758**	**-17,614**	**-1,261**	**478**
Free cashflow to s/holders	**13,100**	**-15,086**	**-7,866**	**-5,705**	**5,166**

For definitions of the items in this table, please click here.

3Q26E Preview and Business Update

Baidu AI Cloud and Chip Business

Stronger traction for DuMate

DuMate is a professional office agent platform for individuals and enterprises. Once users proposed a prompt, DuMate is responsible for automatic mission breakdown, data search, document processing and tool deployment. DuMate also supports complex missions with continuous cross-applications and cross-document deployment.

A report by 9QuCloud dated Aug 17 (link), which cited AICPB PC AI office agent ranking in Jul 2026, suggested Baidu's DuMate was the fastest-growing PC AI office agent with 1063.79% sequential MAU growth in Jul. With the fastest monthly sequential growth, DuMate was also the second largest PC AI office agent with 6.743mn MAU in Jul, following 11.2mn for WorkBuddy. The article suggested that this implied over 10x MAU growth for DuMate in the preceding month.

Later, as reported by Sina Finance dated Aug 28 (link), Baidu hosted a product launch event for DuMate, during which Baidu shared that DuMate user growth was up by close to 9x in the preceding month, indicating strong user demand for DuMate. In Aug, Baidu ran the latest product upgrade for its AI office portfolio with a matrix of products, including DuMate, KuKu AI (originally known as GenFlow) and Miaoda. Built by Baidu AI Cloud, DuMate now consists of comprehensive modules for enterprises, individuals, professional use and workspace functions, targeting key industries such as self-media and finance industries, and missions such as theme planning, data research, content production, financial/industry analysis and report export.

Since its launch in Mar 2026, DuMate has finished 150 upgrades within 5 months to optimize product experience. Leveraging Baidu's full-stack capabilities in AI cloud, chip, models and agents, it helps support steady operations of agents in real missions with continued optimization planned in future. By servicing top-tier internet companies, 80% of SOE and numerous SMEs in internet, energy, manufacturing and finance verticals, these capabilities should enable continued optimization of DuMate and make more AI infra and agent infra available for more enterprise customers.

Recent upgrades of DuMate focused on results-oriented workflow with traceable logs. The enterprise version of DuMate publishes 15 modules and 96 skills in 4 major areas including finance, legal, product & development and operations & HR. DuMate is also powered by Harness intelligent engine for mission planning, tool deployment and execution with mission completion rate above 99% while reducing credit consumption by 30%, according to the company.

On Sep 20, Baidu hosted Baidu Agent Summit in Shenzhen, during which the company further revealed that the number of projects fulfilled by DuMate had increased 4.3x sequentially, while expert module consumption had increased by 7.3x sequentially. During the summit, DuMate released a mobile version for enterprise DuMate and multi-user collaboration capabilities to support cross-device fulfillment and improve both individual and enterprise efficiency. Lastly, DuMate will have its next product launch event on Oct 21 in Hangzhou, during which we expect more new features of DuMate to be announced.

Upgrade of Miaoda 3.8

On Sep 11, Baidu hosted 2026 Miaoda AI Day in Hangzhou to announce the changing position of Miaoda from application generation by everyone to an application creation and generation platform covering design, development, testing, distribution, growth and n strategies. Baidu also upgraded Miaoda 3.8 version to feature full-chain functional capabilities. Major upgrades of Miaoda 3.8 include multi-environment adaptability, verification for mini program release, marketing agent, connection with Weixin Pay and modular transactional functions.

With the number of Miaoda enterprise customers growing 14x faster than the number of individual customers in the past few months, Baidu saw strong demand for Miaoda enterprise use cases for org management, transactions, program operations, marketing and data tracing. The enterprise version of Miaoda also supports comprehensive solutions for backend data sharing across applications, isolation for development and production environment, convenient localized deployment and team collaboration management.

Baidu also shared that in the 2 months following the release of Miaoda 3.5, Miaoda had services a cumulative 40mn users, created 5mn applications with 200,000 daily concurrent users. Baidu referenced an industry report from Sullivan, which suggested that Miaoda took up the largest 33.4% market share in the China AI-native no-code application generation platform industry in 1H26.

Baidu World 2026 on Nov 12

On Oct 12, Baidu officially announced that Baidu World 2026 will be held in Beijing on Nov 12. With the theme of "Next Chapter: Intelligent Organizations", Baidu World 2026 will cover numerous product launches at the main forum, 12 sub-forums, over 30 open classes in which participants can experience the full-stack AI capabilities of Baidu in chips, cloud, models and agents.

Figure 1. Baidu AI Cloud Ernie major milestones and achievements

Date	Event	Milestones
Feb-25	Product launch	Launch of in-depth search on Ernie Bot
16-Mar-25	Product launch	Launch of Ernie 4.5 and Ernie X1
24-Mar-25	Product launch	Launch of Miaoda, a generative application development platform
2-Apr-25	Product launch	Launch of Ernie X1 on Qianfan
25-Apr-25	Product launch	Launch of Ernie 4.5 Turbo, Ernie X1 Turbo, Xin Xiang as multi-agent collaboration app
28-May-25	Model integration	Integration of Qianfan with DeepSeek-R1-0528
12-Jun-25	Model integration	Integration of Qianfan with Baidu AI Search
30-Jun-25	Open source	Open-sourced Ernie 4.5
2-Jul-25	Product launch	Launch of MuseSteamer 1.0 as advanced AI image to video generation
21-Aug-25	Product launch	Launch of MuseSteamer 2.0 as advanced AI image to video generation
9-Sep-25	Product launch	Launch of Ernie X1.1 on Qianfan
22-Sep-25	Open source	Open-sourced Qianfan-VL
16-Oct-25	Product launch	Upgrade of Baidu Qianfan with agent-oriented approach for enterprise customers
13-Nov-25	Product launch	Launch of Ernie 5.0
22-Mar-26	Product launch	Launch of DuMate, an agentic product
19-Mar-26	Product launch	Launch of Qianfan-OCR, an end-to-end document intelligent model
9-May-26	Product launch	Launch of Ernie 5.1
16-Jul-26	Product launch	Launch of Miaoda 3.5
11-Sep-26	Product launch	Upgrade of Miaoda 3.8

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Source: Company Reports, Citi Research

Other product updates

Renaming of Baijiahao app

Reported by Sina Finance dated Sep 14 (link), Baidu announced to rename Baijiaohao app as Baidu Livestreaming Companion ("百度直播伴侣"), primarily providing live-streaming related services starting Sep 22. The original content creation function of the Baijiahao app was migrated to the Baidu app creation center. Baidu shared that with its new app, it aimed to provide a more comprehensive and efficiency creation experience for content creators.

Baidu Map V22 upgrade

Reported by Sina Tech dated Sep 24 (link), Baidu Map released V22 version on Sep 23 with upgrade in lane-level navigation 4.0, surround reality navigation 2.0 with AI generative rendering for different visual styles and an all-domain escort system. The new version of Baidu Map aims to fully integrate physical world data with user needs in real-time, while improving the performance of AI devices in understanding the environment, providing judgment and planning decisions.

Apart from navigation, Baidu Map was upgraded with the capability to understand user needs, with the number of user pan-search queries increasing 65% in the past year and user acceptance of AI recommendations increasing 4x. Amid higher AI penetration in user information processing and decision making, Baidu Map V22 also upgraded its AI services with improving natural language understanding in AI search, AI travel, AI routes, AI moment, AI driving assistant and AI interaction.

Currently, Baidu Map has accumulated 13mn km lane-level traffic data, 300mn POI, over 600mn monthly user interactions and is used by over 60mn vehicles. Baidu Map V22 will gradually open its ecosystem for more AI terminals in vehicles, mobile phones and robotics.

Autonomous Driving

Proposed application for commercialized operations in HK

Reported by Yahoo! News dated Sep 16 (link), Baidu plans to apply for a permit for commercialized operations of autonomous vehicles in Hong Kong, in light of regulatory support under HK's recent Five-Year Plan and Policy Address. Currently Apollo Go (Baidu's autonomous robotaxi service) is expanding its testing area and scale in HK.

Share buyback

Since Baidu's voluntary conversion of its HK secondary listing status to a dual-primary listing on the HK Stock Exchange effective Sep 1, HKEx filing suggests that Baidu conducted its first buyback activity on Sep 7, repurchasing 545,000 shares on the first day. In Sep, Baidu bought back 10.2mn shares in 18 trading days for a total of HK$901mn or ~US$115mn, on our estimate. According to HKEx filing, the last day for Baidu's share buyback was Sep 30, before the quarter-end. Depending on if Baidu also bought back shares in the US-traded ADR, we believe the actual amount bought back could be slightly different from our estimate above.

Figure 2. Baidu share buyback on HK Stock Exchange

Date	Number of shares	Highest price (HKD)	Lowest price (HKD)
Sep-2026	10,172,850	93	84
9/30/2026	586,600	86	85
9/29/2026	589,950	85	84
9/28/2026	583,700	87	85
9/25/2026	589,050	85	84
9/24/2026	576,400	88	86
9/23/2026	561,800	90	89
9/22/2026	552,450	92	89
9/21/2026	560,000	90	88
9/18/2026	561,000	90	88
9/17/2026	575,300	87	86
9/16/2026	565,850	89	88
9/15/2026	556,100	91	89
9/14/2026	556,900	90	89
9/11/2026	560,200	90	89
9/10/2026	557,200	90	89
9/9/2026	541,200	93	91
9/8/2026	554,150	92	89
9/7/2026	545,000	92	91

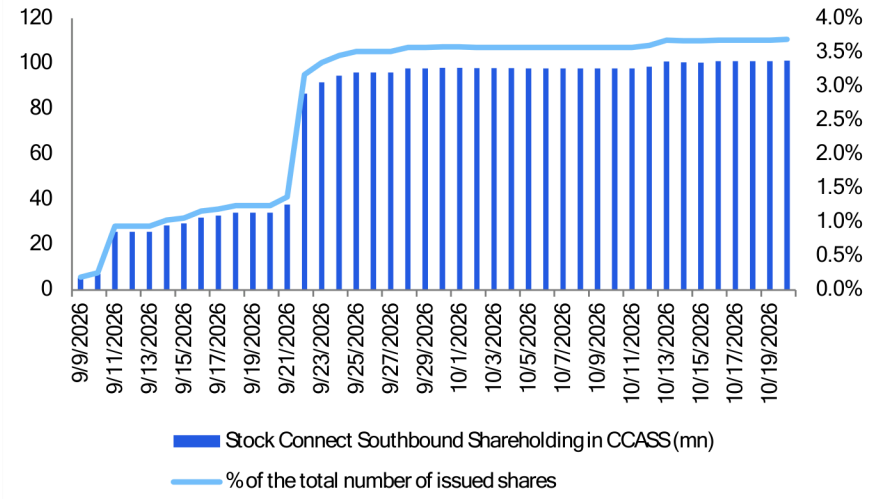
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Source: HKEx, Citi Research

Southbound shareholding under Stock Connect

On Sep 6 (link), Baidu announced that its Class A ordinary shares traded on HK Stock Exchange have been included in the Shenzhen-HK Stock Connect program, effective Sep 7. Together with a previous announcement of inclusion in the Shanghai-HK Stock Connect program, which became effective on the same day, eligible investors in mainland China now have direct access to Baidu's Class A ordinary shares through both programs.

According to HKEx filing, Baidu's Stock Connect southbound shareholding in CCASS increased from ~5mn (0.19% of the total number of issued shares) as at end of Sep 9 to ~101mn or 3.69% of the total number of issued shares by end of Oct 20.

Figure 3. Baidu Stock Connect southbound shareholding



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Source: HKEx, Citi Research

Estimates revision

We adjust our 2026E, 2027E and 2028E total revenue/non-GAAP NP estimates by +0.3%/-8.6%, +1.1%/-9.3%, and +1.4%/-2.5%, respectively, to reflect faster AI cloud infra revenue than we previously forecast, while further tweak down our core ads revenue assumptions for 3Q26 and 4Q26 to reflect limited improvement in the declining ad revenue trend.

For 3Q26, we adjust our total revs/non-GAAP NP estimates by +1.4%/-21.2%, to reflect higher AI cloud infra revenue amid strong customer demand while lower Baidu General Business op margins as a result of revenue mix and step-up in investment in the next version of Ernie model training.

Figure 4. Earnings revisions

	Gross revenues (Rmb mn)			Non-GAAP Net Profit (Rmb m)			Non-GAAP Diluted EPADS (Rmb)		
Rmb (mn except per share data)	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg
3Q26E	30,398	30,815	*1.4%*	2,444	1,926	*-21.2%*	7.09	5.59	*-21.2%*
4Q26E	32,578	32,586	*0.0%*	3,501	2,918	*-16.6%*	10.15	8.46	*-16.6%*
2026E	**126,377**	**126,801**	***0.3%***	**12,850**	**11,749**	***-8.6%***	**37.26**	**34.07**	***-8.6%***
2027E	**132,664**	**134,141**	***1.1%***	**16,392**	**14,867**	***-9.3%***	**47.45**	**43.03**	***-9.3%***
2028E	**140,815**	**142,789**	***1.4%***	**19,045**	**18,571**	***-2.5%***	**55.03**	**53.66**	***-2.5%***

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Source: Citi Research

Figure 5. Earnings revisions

Rmb (mn)	Baidu General revs			Baidu core Ad revs			Baidu core AI-powered revs			AI Cloud Infra revs			AI Applications			Baidu core OPEX			Baidu core adjusted OP		
	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg
3Q26E	24,285	24,702	1.7%	12,699	12,087	-4.8%	12,338	13,378	8.4%	6,944	8,350	20.2%	2,600	2,550	-1.9%	8,402	8,795	4.7%	1,971	1,644	-16.6%
yoy growth	*-1.5%*	*0.2%*		*-17.0%*	*-21.0%*		*28.5%*	*39.4%*		*65.3%*	*98.8%*		*0.0%*	*-1.9%*		*-68.4%*	*-67.0%*		*-11.4%*	*-26.1%*	
4Q26E	26,244	26,252	0.0%	12,382	12,231	-1.2%	14,342	15,047	4.9%	8,732	9,523	9.1%	2,700	2,650	-1.9%	9,092	9,290	2.2%	2,992	2,634	-12.0%
yoy growth	*0.5%*	*0.5%*		*-18.0%*	*-19.0%*		*28.1%*	*34.4%*		*50.6%*	*64.2%*		*0.0%*	*-1.9%*		*-21.7%*	*-20.0%*		*5.4%*	*-7.2%*	
2026E	**101,714**	**102,138**	***0.4%***	**50,781**	**50,018**	***-1.5%***	**52,680**	**54,425**	***3.3%***	**31,776**	**33,973**	***6.9%***	**10,300**	**10,200**	***-1.0%***	**33,627**	**34,218**	***1.8%***	**12,730**	**12,045**	***-5.4%***
yoy growth	*-0.8%*	*-0.3%*		*-18.9%*	*-20.1%*		*32.4%*	*36.7%*		*60.5%*	*71.6%*		*1.0%*	*0.0%*		*-40.9%*	*-39.9%*		*-11.1%*	*-15.9%*	
2027E	**106,578**	**108,054**	***1.4%***	**44,179**	**43,516**	***-1.5%***	**63,245**	**66,643**	***5.4%***	**40,756**	**44,874**	***10.1%***	**10,784**	**10,681**	***-1.0%***	**38,740**	**39,192**	***1.2%***	**13,574**	**12,085**	***-11.0%***
yoy growth	*4.8%*	*5.8%*		*-13.0%*	*-13.0%*		*20.1%*	*22.4%*		*28.3%*	*32.1%*		*4.7%*	*4.7%*		*15.2%*	*14.5%*		*6.6%*	*0.3%*	
2028E	**113,490**	**115,464**	***1.7%***	**40,420**	**39,808**	***-1.5%***	**74,681**	**76,295**	***2.2%***	**51,753**	**53,951**	***4.2%***	**11,108**	**11,001**	***-1.0%***	**41,292**	**42,063**	***1.9%***	**15,527**	**14,917**	***-3.9%***
yoy growth	*6.5%*	*6.9%*		*-8.5%*	*-8.5%*		*18.1%*	*14.5%*		*27.0%*	*20.2%*		*3.0%*	*3.0%*		*6.6%*	*7.3%*		*14.4%*	*23.4%*	

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Source: Citi Research

3Q26E preview

Baidu has not yet announced the date for 3Q26 results. We expect it to report around mid-Nov.

- **Total revs and profit** – We now forecast total net revs of Rmb30.8bn (-1.2% yoy and -1.6% qoq) and non-GAAP EPADS of Rmb5.59 vs cons. of Rmb30.6bn and Rmb7.67.
- **Baidu General Business and ad revs** – We now model Baidu General Business revs to +0.2% yoy and -1.9% qoq to Rmb24.7bn and adj. OpM to reach 6.7% or Rmb1.64bn. For Baidu General Business, we now model ad revs to decline -21% yoy to Rmb12.09bn.
- **AI-powered and AI cloud infra revs –** We model total AI-powered revs to reach Rmb13.38bn or 54% of total Baidu General Business revs; AI cloud infra revs to reach +99% yoy to Rmb8.35bn and account for 62% of total AI-powered revs.
- **Expectation –** We expect consensus estimates to adjust closer to our latest forecasts ahead of the print and we believe Baidu is likely to report relatively in-line results vs. our revised forecasts. Any deviation on the upside could come from AI Cloud Infra revs and any downside risks could be due to softer-than-expected core search business and AI native marketing revs. We also see possible downside risk to consensus operating and net profit forecasts at current levels.
- **Call focus –** 1) latest progress on Kunlunxin listing timing; 2) Baidu World 2026 updates and highlights; 3) AI cloud infra and public cloud demand; 4) AI application and AI native marketing revs demand; 5) progress on revising Ernie model; 6) update on Qianfan, DuMate and other AI applications; and 7) robotaxi ops overseas and China update.

4Q26 outlook

- **Total Baidu** - We model total net revs of Rmb32.59bn (-0.5% yoy and +5.7% qoq) and non-GAAP EPADS of Rmb8.46 vs cons. of Rmb33.2bn/Rmb9.16.
- **Baidu General Business** - We model Baidu General Business revs to +0.5% yoy to Rmb26.3bn and adj. Op to reach Rmb2.6bn or 10.0% margin. Within this, we estimate core ad revs to decline -19% yoy to Rmb12.23bn and we model AI-powered revs to reach Rmb15.05bn or 57% of total Baidu General Business.
- **AL Cloud Infra** - Specifically, we forecast AI Cloud Infra revs to be Rmb9.5bn (+64% yoy) and account for 63% of AI powered revs.

Figure 6. Citi vs consensus estimates

	Gross revenues (RMB m)			Non-GAAP Net Profit (RMB m)			Non-GAAP Diluted EPADS (RMB)		
RMB m (except per share data)	Citi	Consensus	% Chg	Citi	Consensus	% Chg	Citi	Consensus	% Chg
3Q26E	30,815	30,582	*0.8%*	1,926	2,779	*-30.7%*	5.59	7.67	*-27.1%*
4Q26E	32,586	33,153	*-1.7%*	2,918	3,446	*-15.3%*	8.46	9.16	*-7.6%*
2026E	**126,801**	**127,287**	***-0.4%***	**11,749**	**13,238**	***-11.2%***	**34.07**	**38.50**	***-11.5%***
2027E	**134,141**	**135,190**	***-0.8%***	**14,867**	**16,356**	***-9.1%***	**43.03**	**47.10**	***-8.6%***
2028E	**142,789**	**148,827**	***-4.1%***	**18,571**	**19,064**	***-2.6%***	**53.66**	**55.52**	***-3.3%***

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Source: Citi Research estimates and Bloomberg consensus

Maintain Buy and lower TP to US$154

We derive our SOTP-based TP for Baidu at US$154 based on the following.

- **Baidu Core (search only)** – We lower our target multiple to 2.5x (from 3x) on online ad revs given a lack of visibility on the transition impact from generative-AI answer on search result as well as recent sector de-rating. Applying 2.5x to 2027E non-GAAP estimated core search net profit of US$1.3bn (assuming 21% net margins) results in US$3.34bn or US$9.7 per share.
- **Baidu AI Cloud (excluding Kunlunxin revs)** – We apply 2.5x (unchanged) to 2027E AI Cloud revs only (excluding embedded revs from Kunlunxin) of US$7.25bn to get US$18.1bn or US$52.6 per share.
- **Kunlunxin** – We forecast Kunlunxin revs to reach US$2.11bn in 2027 and apply a lower target multiple of 10x P/S (from 15x) to get US$21.1bn valuation, reflecting the recent sector de-rating. Reflecting that Baidu would likely retain a 50% stake post the public listing of Kunlunxin, we apply a 25% holdco discount to get US$7.9bn or US$22.9 per share contribution to SOTP.
- **Autonomous driving** – Given there is limited information on current robotaxi revs, and total completed rides on Baidu's robotaxi is higher than Pony's, we believe referencing current Pony.ai market value of US$2.3bn provides a reasonable comparison. We also apply a 25% discount to holdco, which results in US$1.73bn or US$5.00 per share.
- **Adding cloud + Kunlun + Robotaxi** – Add together the three businesses, we arrive at US$27.74bn or US$81 per share.
- **Investees portfolio and cash –** This includes IQ stake at 48%, which is valued at Citi target price valuation, arriving at US$738mn, and a 7.1% stake in Trip.com (which we add at a 25% discount), valued at US$1.40bn. Applying a 50% discount to the net cash balance of US$39.7bn gets us US$19.8bn or US$57.5 per share.

Our US$154 TP implies 30.7x/24.3x our consolidated 2026E/2027E non-GAAP EPADS which reflect much lower operating profit from high margins in the core ad business.

Maintain Buy given undemanding valuation especially considering current cash balance, improving shareholder return (through buyback and potential upcoming first-ever dividend payment) as well as upcoming Kunlunxin listing.

Figure 7. Baidu SOTP valuation

	Revenues (US$ mn)	Non-GAAP operating income (US$ mn)	Non-GAAP operating margin	Non-GAAP net income (US$ mn)	Non-GAAP net margin	Valuation methodology	Multiple	Valuation (US$ mn)	Baidu's stake / discount	Implied valuation (US$ mn)	Implied value per share (US$)
Total Baidu Core	**15,925**	**1,781**	**11.2%**	**2,995**	**18.8%**			**44,811**		**31,079**	**90.1**
- Baidu Core Search (incl. AI-Native Marketing)	6,413	1,667	26.0%	1,334	20.8%	P/E	2.5	3,335	100%	3,335	9.7
- AI, Cloud and Autonomous Driving	**9,512**	**114**	**1.2%**	**1,661**	**17.5%**	**P/S**		**41,476**	**100%**	**27,744**	**80.5**
- Cloud +AI Application (ex. Kunlunxin)	7,250						2.5	18,124	100%	18,124	52.6
- Autonomous Driving	364							2,300	100%	1,725	5.0
- Kunlunxin	2,105						10	21,052	50%	7,894	22.9
Baidu's investees:								**27,716**		**2,138**	**6.2**
- iQiyi	3,845	509	13.2%	(94)	-2.4%	P/S	0.4	1,538	48%	738	2.1
- Trip.com (Market cap as of Oct 20 and 25% discount)						Market cap		26,178	7.1%	1,400	4.1
Net cash (as of 2Q26)								**39,656**	**50%**	**19,828**	**57.5**
Total valuation	**19,770**	**2,290**	**11.6%**	**2,901**	**14.7%**					**53,045**	**154**

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Source: Citi Research Estimates

Figure 8. Income statement

Year to 31 Dec (RMB mn)	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	2027E	2028E
Total revenues	**129,079**	**32,075**	**31,325**	**30,815**	**32,586**	**126,801**	**134,141**	**142,789**
YoY growth	*-3.0%*	*-1.2%*	*-4.2%*	*-1.2%*	*-0.5%*	*-1.8%*	*5.8%*	*6.4%*
Total cost of revenues	72,436	19,589	19,098	19,783	20,040	75,171	80,469	83,168
Gross profit	**56,643**	**12,486**	**12,227**	**11,032**	**12,545**	**51,630**	**53,672**	**59,621**
Gross margin	*43.9%*	*38.9%*	*39.0%*	*35.8%*	*38.5%*	*40.7%*	*40.0%*	*41.8%*
Selling, general and administrative	24,662	4,722	4,376	4,699	4,986	18,783	21,032	23,209
Research and development	18,398	4,090	4,209	4,684	4,888	17,871	20,303	21,190
Share-based compensation	3,216	481	618	616	652	2,367	2,683	2,856
Total operating expenses	62,466	9,293	9,203	10,000	10,525	39,021	44,018	47,255
Operating income	**(5,823)**	**3,193**	**3,024**	**1,032**	**2,020**	**12,609**	**9,654**	**12,366**
Operating margin (GAAP)	*-4.5%*	*10.0%*	*9.7%*	*3.4%*	*6.2%*	*9.9%*	*7.2%*	*8.7%*
Non-GAAP Operating Income	**14,950**	**3,807**	**3,785**	**1,649**	**2,672**	**14,976**	**12,337**	**15,222**
Operating margin (Non GAAP)	*11.6%*	*11.9%*	*12.1%*	*5.4%*	*8.2%*	*11.8%*	*9.2%*	*10.7%*
Net Interest income	5,818	1,327	1,077	1,082	1,093	4,580	4,932	5,599
Other income/(expense), net	5,767	(248)	(90)	200	200	62	800	800
Profit before tax	6,716	3,819	3,208	1,633	2,790	14,790	14,607	19,186
Tax	(1,259)	(528)	(1,000)	(394)	(578)	(2,501)	(2,811)	(3,773)
Net Income	**5,457**	**3,291**	**2,208**	**1,239**	**2,212**	**12,289**	**11,796**	**15,413**
Minority interests	132	154	111	71	55	391	388	302
Net income attributable to Baidu	**5,589**	**3,445**	**2,319**	**1,310**	**2,267**	**12,680**	**12,184**	**15,715**
GAAP net margin	*4.3%*	*10.7%*	*7.4%*	*4.3%*	*7.0%*	*10.0%*	*9.1%*	*11.0%*
Non-GAAP net income	**18,941**	**4,332**	**2,573**	**1,926**	**2,918**	**11,749**	**14,867**	**18,571**
Non-GAAP net margin	*14.7%*	*13.5%*	*8.2%*	*6.3%*	*9.0%*	*9.3%*	*11.1%*	*13.0%*
GAAP basic EPS (RMB)	13.67	9.38	6.08	3.86	6.67	37.33	35.86	46.24
GAAP diluted EPS (RMB)	11.78	8.76	5.74	3.80	6.57	36.77	35.27	45.41
Non-GAAP diluted EPS (RMB)	53.41	12.06	7.22	5.59	8.46	34.07	43.03	53.66
Segment breakdown:								
Baidu General Business	**102,485**	**26,001**	**25,183**	**24,702**	**26,252**	**102,138**	**108,054**	**115,464**
Core ads revenues	62,600	12,600	13,100	12,087	12,231	50,018	43,516	39,808
Non-ads revenues	39,885	13,401	12,083	12,615	14,021	52,120	64,539	75,657
- AI Cloud revenues	*27,204*	*10,911*	*9,075*	*9,709*	*11,073*	*40,769*	*52,793*	*63,472*
- non-cloud revenues	*12,681*	*2,490*	*3,008*	*2,906*	*2,947*	*11,351*	*11,745*	*12,185*
iQiyi	**27,291**	**6,226**	**6,287**	**6,113**	**6,334**	**24,960**	**26,087**	**27,325**
Baidu General Business margin profile:								
Non-GAAP operating profit	**14,319**	**3,950**	**3,818**	**1,644**	**2,634**	**12,045**	**12,085**	**14,917**
Non-GAAP operating margin	*14.0%*	*15.2%*	*15.2%*	*6.7%*	*10.0%*	*11.8%*	*11.2%*	*12.9%*
Non-GAAP net profit	**18,827**	**4,433**	**2,672**	**2,004**	**2,964**	**12,358**	**15,399**	**18,923**
Non-GAAP net margin	*18.4%*	*17.0%*	*10.6%*	*8.1%*	*11.3%*	*12.1%*	*14.3%*	*16.4%*

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Source: Citi Research, Company Reports

Bull/Bear: Baidu.com (BIDU.O)

US$184.00 ▲129% Upside | US$154.00 ▲91% Upside | US$77.00 ▼4.3% Downside



Spread 133pp
Current Price and expected returns (upside/downside) as of 20 Oct 2026

BULL Assumptions

- Baidu Core search multiple of 3x
- Baidu AI Cloud multiple of 3.5x
- Kunlunxin multiple of 13x

BASE Assumptions

- Baidu Core search multiple of 2.5x
- Baidu AI Cloud multiple of 2.5x
- Kunlunxin multiple of 10x

BEAR Assumptions

- Baidu Core search multiple of 0.3x
- Baidu AI Cloud multiple of 0.3x
- Kunlunxin multiple of 0.5x

Baidu.com

Company description

Baidu is a leading search engine company in China. It was listed on NASDAQ in 2005. The company focuses on providing the best search experience through technological innovation such as box computing, landing-page strategy, and cloud computing services. We believe the adoption of Phoenix Nest was a milestone for Baidu to strengthen its relevancy with comprehensive analytical tools to advertisers. Baidu has demonstrated solid execution in mobile search, with an effective multi-pronged strategy in search, apps distribution, and location-based services.

Investment strategy

We rate Baidu shares as Buy. After the transition and impact from the medical incident in 2016, Baidu has started to report solid results and guidance, even for the core Baidu business (ex-iQiyi). We believe the core search + newsfeed business will continue to benefit from improved targeting of its Phoenix Nest system. More importantly, we see upside from the n of service revenues from the autonomous vehicle Apollo system and ad monetization from its conversational DuerOS smart devices.

Valuation

Our SOTP-derived target price for Baidu shares of US$154 is based on:

(1) Baidu Core (search only) P/E of 2.5x on 2027E non-GAAP estimated core search net profit of US$1.3bn (assuming 20.8% net margins).

(2) Baidu AI Cloud (excluding Kunlunxin revenue) P/S of 2.5x on 2027E AI Cloud revenue only (excluding embedded revenue from Kunlunxin) of US$7.25bn to get US$18.1bn or US$52.6 per share.

(3) Kunlunxin: We forecast Kunlunxin revenue to reach US$2.11bn in 2027 and apply 10x P/S multiple to get US$21.1bn valuation. Reflecting Baidu likely retaining a 50% stake post potential public listing of Kunlunxin and applying a 25% holdco discount, we arrive at US$7.9bn or US$22.9 per share contribution to SOTP.

(4) Autonomous driving: Given limited information on current robotaxi revenue and that total completed rides by Baidu's robotaxi are higher than Pony's, we believe using the current Pony.ai market value of US$2.3bn is a reasonable comparison. We also apply a 25% discount to holdco and hence get US$1.73bn or US$5.0 per share.

(5) We include the 48% iQiyi (IQ) stake based on our target price valuation; the 7.1% stake in Trip.com based on conservatively applying a 25% discount to the market value; and a 50% discount to the net cash balance to reflect a portion of the long-term asset potentially being less liquid.

Our US$154 TP implies 31x/24x our consolidated 2026E/27E non-GAAP

EPADS, which reflects much lower operating profit from the high-margin core ad business.

Risks

Downside risks that could impede the Baidu shares from reaching our target price include: 1) the search business recovers more slowly than expected and the ad budget loses share to competitors; 2) news feed ads face tougher competition from the incumbents; 3) a further slowdown in China's economy (including from the coronavirus outbreak) affects overall advertising sentiment; and 4) regulatory actions lead to further adjustments in search results inventory.

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Appendix A-1

ANALYST CERTIFICATION

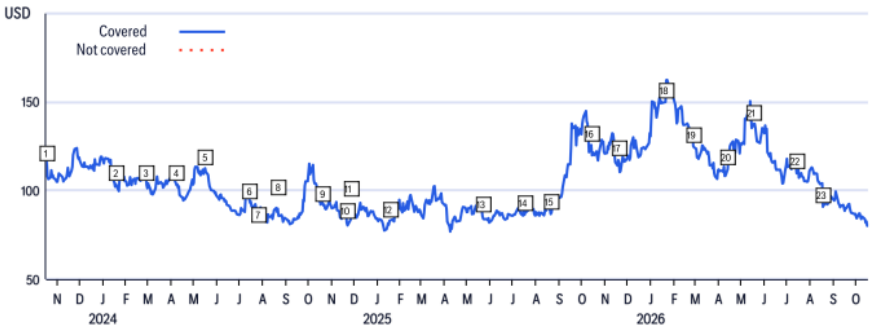
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IMPORTANT DISCLOSURES

Baidu.com (BIDU)

Ratings and Target Price History
Fundamental Research

Analyst: Alicia Yap, CFA



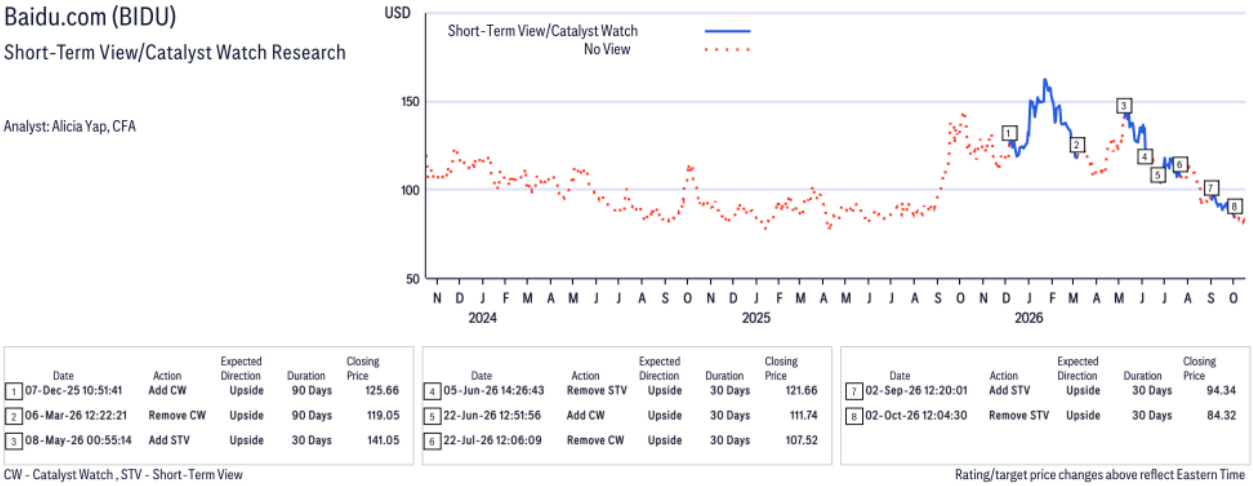
	Date	Rating	Target Price	Closing Price
1	18-Oct-23 10:37:29	1	*178.00	114.71
2	18-Jan-24 12:30:02	1	*171.00	103.64
3	28-Feb-24 16:48:53	1	*181.00	103.31
4	08-Apr-24 10:23:26	1	*176.00	103.05
5	16-May-24 17:52:16	1	*170.00	112.59
6	15-Jul-24 06:49:20	1	*155.00	93.15
7	26-Jul-24 01:26:00	1	*153.00	88.98
8	22-Aug-24 17:31:39	1	*144.00	85.79

	Date	Rating	Target Price	Closing Price
9	21-Oct-24 10:17:20	1	*143.00	91.62
10	21-Nov-24 17:35:21	1	*142.00	81.63
11	27-Nov-24 11:49:52	1	*141.00	84.82
12	17-Jan-25 14:46:47	1	*139.00	82.92
13	21-May-25 16:59:58	1	*138.00	85.48
14	16-Jul-25 12:28:11	1	*140.00	86.32
15	20-Aug-25 17:10:38	1	*143.00	86.76
16	13-Oct-25 13:51:04	1	*166.00	125.72

	Date	Rating	Target Price	Closing Price
17	18-Nov-25 17:12:33	1	*181.00	117.14
18	20-Jan-26 08:33:37	1	*186.00	150.02
19	26-Feb-26 17:39:20	1	*188.00	125.15
20	13-Apr-26 12:02:56	1	*186.00	112.01
21	18-May-26 18:18:24	1	*188.00	137.71
22	14-Jul-26 12:29:06	1	*177.00	109.73
23	18-Aug-26 17:54:32	1	*166.00	90.87

*Indicates Change

Rating/target price changes above reflect Eastern Time



	Date	Action	Expected Direction	Duration	Closing Price
1	07-Dec-25 10:51:41	Add CW	Upside	90 Days	125.66
2	06-Mar-26 12:22:21	Remove CW	Upside	90 Days	119.05
3	08-May-26 00:55:14	Add STV	Upside	30 Days	141.05
4	05-Jun-26 14:26:43	Remove STV	Upside	30 Days	121.66
5	22-Jun-26 12:51:56	Add CW	Upside	30 Days	111.74
6	22-Jul-26 12:06:09	Remove CW	Upside	30 Days	107.52
7	02-Sep-26 12:20:01	Add STV	Upside	30 Days	94.34
8	02-Oct-26 12:04:30	Remove STV	Upside	30 Days	84.32

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

The Firm has made a market in the publicly traded equity securities of Baidu, Inc. on at least one occasion since 1 Jan 2025.

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Citi Research Equity Ratings Distribution

	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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